A PROJECT REPORT ON
FINTECH WITH ARTIFICIAL INTELLIGENCE

Transforming Financial Services in the Digital Era

Name	B. Sakthisri
Course	B.Com Fintech with AI
Department	Commerce & Financial Technology
Academic Year	2025-2026

Table of Contents

1. 1. Executive Summary
2. 2. Introduction to Fintech
3. 3. Understanding Artificial Intelligence in Finance
4. 4. Key Segments of Fintech with AI
5. 5. Market Analysis and Growth
6. 6. Applications of AI in Fintech
7. 7. Benefits and Challenges
8. 8. Case Studies
9. 9. Future Scope and Trends
10. 10. Conclusion
11. 11. References

1. Executive Summary

Financial Technology (Fintech) combined with Artificial Intelligence (AI) is revolutionizing the way financial services are delivered and consumed. This report, prepared by B. Sakthisri, B.Com Fintech with AI, explores the integration of AI in financial services, its applications, market growth, and future potential. The global fintech market has grown from $110 Billion in 2020 to an estimated $370 Billion in 2026, driven largely by AI-powered solutions in payments, lending, fraud detection, and wealth management. The report includes data-driven charts and tables to provide a comprehensive academic understanding.

2. Introduction to Fintech

Fintech refers to the use of technology to improve and automate financial services. It includes mobile payments, digital wallets, peer-to-peer lending, crowdfunding, and blockchain-based solutions. The evolution from traditional banking to digital-first finance has been accelerated by smartphones, internet penetration, and AI.

What is Fintech with AI?

Fintech with AI is the synergy where machine learning, natural language processing, predictive analytics, and robotic process automation are applied to financial operations. For B.Com students, this specialization offers skills in financial analysis plus AI tools like Python, data analytics, and algorithmic trading.

3. Understanding Artificial Intelligence in Finance

AI technologies used in finance include:

Table 1: Types of AI Technologies in Finance

AI Technology	Function in Finance	Example
Machine Learning	Predictive analysis & credit scoring	Zest AI, Upstart
Natural Language Processing	Chatbots, sentiment analysis	ChatGPT for banking, Erica by BoA
Robotic Process Automation	Automates repetitive tasks	Automated KYC/AML
Computer Vision	Document verification, cheque scanning	ID verification
Generative AI	Personalized financial advice	Robo-advisors

4. Key Segments of Fintech with AI

The Fintech ecosystem powered by AI can be divided into 5 major segments:

Table 2: Fintech Segments Overview

Segment	Market Share (2025)	Growth Rate (CAGR)	AI Role
Digital Payments	35%	22%	Fraud detection, personalized offers
Lending & Credit	25%	28%	Automated credit scoring, risk assessment
Insurtech	20%	25%	Claims processing, risk modeling
WealthTech	12%	30%	Robo-advisory, portfolio management
RegTech & Blockchain	8%	35%	Compliance monitoring, smart contracts

Figure 1: AI Applications Distribution



5. Market Analysis and Growth

The Fintech market has witnessed exponential growth post-COVID-19. The adoption of contactless payments, UPI in India, and AI-driven lending has fueled this growth. India is the 3rd largest fintech market globally, with over 10,000 fintech startups as of 2025.

Figure 2: Global Fintech Market Growth

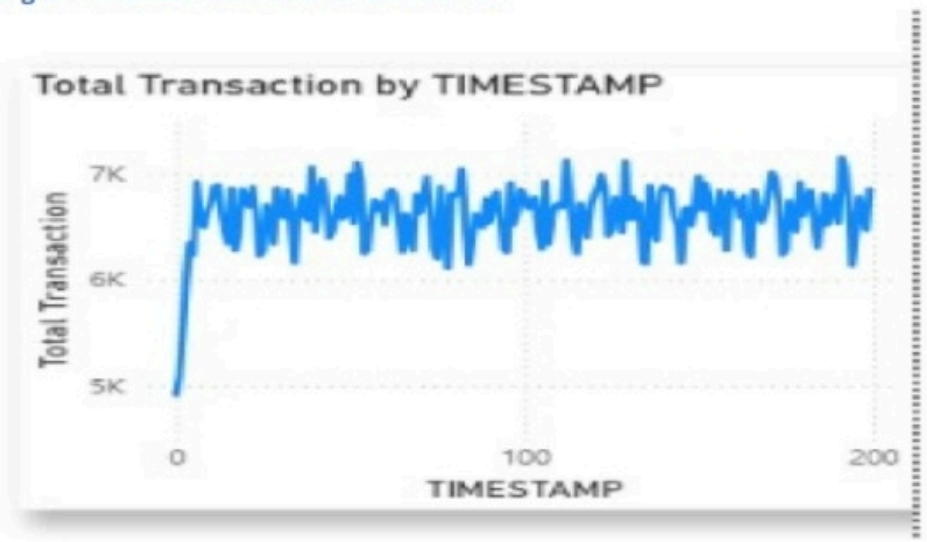


Figure 2: Global Fintech market projected to reach $370B by 2026 (Source: Statista, BCG Analysis)

Table 3: India Fintech Statistics 2025

Metric	Value
Fintech Market Size India	$150 Billion
UPI Transactions (Monthly)	14+ Billion
AI Adoption in Indian Banks	78%
Fintech Unicorns in India	24
Digital Payment Users	900+ Million

6. Applications of AI in Fintech

- 1. Fraud Detection & Prevention: AI algorithms analyze transaction patterns in real-time to detect anomalies. Accuracy improved to 92% from 60%

6. Applications of AI in Fintech

- 1. Fraud Detection & Prevention: AI algorithms analyze transaction patterns in real-time to detect anomalies. Accuracy improved to 92% from 60%.
- 2. Credit Scoring: Alternative data (social media, mobile usage, transaction history) used for scoring thin-file customers.
- 3. Robo-Advisors: AI-powered advisors like Betterment, Zerodha Smartfolios manage portfolios with minimal human intervention.
- 4. Chatbots & Virtual Assistants: 24/7 customer support reducing cost by 40%.
- 5. Algorithmic Trading: AI predicts market movements and executes trades in milliseconds.
- 6. RegTech: AI ensures compliance with AML, KYC regulations automatically.

Figure 3: Performance Improvement After AI



Figure 3: Efficiency gains observed after AI integration in financial services

7. Benefits and Challenges

Table 4: SWOT Analysis - Fintech with AI

7. Benefits and Challenges

Table 4: SWOT Analysis - Fintech with AI

Strengths	Weaknesses
Faster transactions, Lower costs, 24/7 availability, Personalization	High initial investment, Data privacy concerns, Lack of human touch
Opportunities	Threats
Financial inclusion, Growth in emerging markets like India, New job roles (B.Com Fintech)	Cybersecurity risks, Regulatory uncertainty, Job displacement

8. Case Studies

Case Study 1: RazorpayX (India)

Razorpay uses AI for fraud detection and smart routing of payments, processing $60B+ annually. Its AI model reduces failed transactions by 30%.

Case Study 2: ZestMoney

Uses AI-based alternative credit scoring for BNPL (Buy Now Pay Later), targeting 400M Indians without formal credit history.

9. Future Scope and Trends

- Generative AI for hyper-personalized financial planning

- Embedded Finance - Finance integrated into non-financial apps (Swiggy, Uber)
- Central Bank Digital Currency (CBDC) - Digital Rupee powered by AI
- Career Scope for B.Com Fintech with AI graduates: Fintech Analyst, AI Risk Analyst, Blockchain Developer, Robo-Advisory Manager

10. Conclusion

Fintech with AI is not just a technological shift but a paradigm shift in finance. For students like B. Sakthisri pursuing B.Com Fintech with AI, this field offers immense opportunities at the intersection of commerce, technology, and innovation. While challenges like data security and regulation remain, the benefits of financial inclusion, efficiency, and personalization make AI-driven fintech the future of global finance. India, with its UPI infrastructure and digital push, is poised to lead this revolution.

11. References

- BCG & FICCI Report on Indian Fintech 2025
- Statista - Global Fintech Market Size 2020-2026
- RBI - Report on Digital Lending and AI in Banking
- McKinsey - The Future of AI in Financial Services
- NITI Aayog - Responsible AI for Financial Inclusion